

Debt Elimination & Wealth Building Plan

Prepared: March 07, 2026

Self-Employed Contractor — Vancouver, BC

Annual Gross Income: \$120,000

Executive Summary

Metric	Value
Annual Gross Income	\$120,000
Total Annual Tax	\$34,097.12
Effective Tax Rate	28.4%
Marginal Tax Rate	31.0%
Monthly Holdback	\$2,897.00
LOC Payoff Month	10
Debt-Free Date	2028-01-01
Total Interest Paid	\$193.15
Net Worth (Month 24)	\$9,334.85

Strategy Timeline

Phase 1: LOC Elimination (Months 1-11): Extra → LOC principal until LOC = \$0. \$500/mo Safety Fund, \$100/mo TFSA.

Phase 2: Car Balloon Fund (Months 12-16): Redirect former LOC payments → Safety Fund for balloon. Car balloon \$10,500 due June 2027.

Phase 3: Emergency Fund (Months 17-28): Redirect \$1,140/mo → emergency fund until \$18K target. TFSA \$100/mo continues, RRSP \$625/mo starts.

Phase 4: Wealth Building (Months 29+): RRSP \$1,200/mo + TFSA \$625/mo. RRSP refund (~\$5,500 at 38.29% marginal) reinvested.

Current Financial Position

Account	Type	Balance
Business Chequing	Asset	\$5,000.00
TFSA	Asset	\$0.00
RRSP	Asset	\$0.00
Safety Fund	Asset	\$0.00
Emergency Fund	Asset	\$0.00
LOC	Liability	-\$6,450.00
Car Loan	Liability	-\$4,490.00
Student Loan	Liability	-\$10,500.00
Total Assets		\$5,000.00
Total Liabilities		-\$21,440.00
Net Worth		\$-16,440.00

Cash Flow Calendar

Typical month cash flow pattern. The \$5,000 chequing buffer is critical: expenses hit Days 1-6 but income arrives Day 21.

Day	Events	Amount
1	Fixed expenses (rent, student loan, car, etc.)	-\$3,081.00
6	CC statement (all discretionary)	-\$1,750.00
15	Mid-month fixed (car half 2)	-\$315.00
21	Income arrives, LOC autopay, tax holdback	+\$10,000 net
24	LOC voluntary principal (~\$700 target)	-\$700
25	Savings contributions	varies by phase
	Day 1 Total Outflows	-\$3,081.00
	Day 6 CC Statement	-\$1,750.00
	Monthly Fixed Outflows	-\$5,146.00

Buffer Analysis: Day 1 outflows of ~\$3,081 plus Day 6 CC payment of \$1,750 total ~\$5,146 before any income arrives on Day 21. A \$5,000 opening balance provides adequate buffer.

Debt Elimination Strategy

Phase 1: LOC Elimination

Months: 1-11

Extra → LOC principal until LOC = \$0. \$500/mo Safety Fund, \$100/mo TFSA.

Phase 2: Car Balloon Fund

Months: 12-16

Redirect former LOC payments → Safety Fund for balloon. Car balloon \$10,500 due June 2027.

Phase 3: Emergency Fund

Months: 17-28

Redirect \$1,140/mo → emergency fund until \$18K target. TFSA \$100/mo continues, RRSP \$625/mo starts.

Phase 4: Wealth Building

Months: 29+

RRSP \$1,200/mo + TFSA \$625/mo. RRSP refund (~\$5,500 at 38.29% marginal) reinvested.

Scenario Comparison

	Current Plan	Aggressive	Comfortable
Monthly Extra to LOC	\$700.00	\$1,000.00	\$500.00
LOC Payoff Month	10	7	13
Total Interest	\$193.15	\$160.03	\$237.48
Debt-Free Date	2028-01-01	2028-01-01	2028-01-01

Windfall Decision Framework

When unexpected income arrives (tax refund, bonus, side project), use this decision tree:

Priority	Condition	Action
1	LOC > \$0	apply to LOC principal
2	LOC = \$0 and car balloon unpaid	add to Safety Fund
3	emergency fund < \$18K	add to emergency fund
4	Else	split 60% RRSP / 40% TFSA

24-Month Projection

Mo	Phase	Income	Holdback	Expenses	LOC	Car	S.Loan	Net Worth
1	Phase 1	\$10,000.00	\$2,897.00	\$5,146.00	\$5,750.00	\$3,876.80	\$10,060.00	\$-14,523.93
2	Phase 1	\$10,000.00	\$2,897.00	\$5,146.00	\$5,050.00	\$3,261.31	\$9,620.00	\$-12,602.95
3	Phase 1	\$10,000.00	\$2,897.00	\$5,146.00	\$4,350.00	\$2,643.51	\$9,180.00	\$-10,677.05
4	Phase 1	\$10,000.00	\$2,897.00	\$5,146.00	\$3,650.00	\$2,023.40	\$8,740.00	\$-8,746.22
5	Phase 1	\$10,000.00	\$2,897.00	\$5,146.00	\$2,950.00	\$1,400.97	\$8,300.00	\$-6,810.45
6	Phase 1	\$10,000.00	\$2,897.00	\$5,146.00	\$2,250.00	\$776.21	\$7,860.00	\$-4,869.73
7	Phase 1	\$10,000.00	\$2,897.00	\$5,146.00	\$1,550.00	\$149.11	\$7,420.00	\$-2,924.05
8	Phase 1	\$10,000.00	\$2,897.00	\$5,146.00	\$850.00	\$0.00	\$6,980.00	\$-973.41
9	Phase 1	\$10,000.00	\$2,897.00	\$5,146.00	\$150.00	\$0.00	\$6,540.00	\$980.41
10	Phase 1	\$10,000.00	\$2,897.00	\$5,146.00	\$0.00	\$0.00	\$6,100.00	\$2,936.85
11	Phase 2	\$10,000.00	\$2,897.00	\$5,146.00	\$0.00	\$0.00	\$5,660.00	\$4,893.85
12	Phase 2	\$10,000.00	\$2,897.00	\$5,146.00	\$0.00	\$0.00	\$5,220.00	\$6,850.85
13	Phase 2	\$10,000.00	\$2,897.00	\$5,146.00	\$0.00	\$0.00	\$4,780.00	\$8,807.85
14	Phase 2	\$10,000.00	\$2,897.00	\$5,146.00	\$0.00	\$0.00	\$4,340.00	\$10,764.85
15	Phase 2	\$10,000.00	\$2,897.00	\$5,146.00	\$0.00	\$0.00	\$3,900.00	\$12,721.85
16	Phase 3	\$10,000.00	\$2,897.00	\$5,146.00	\$0.00	\$0.00	\$3,460.00	\$14,678.85
17	Phase 3	\$10,000.00	\$2,897.00	\$5,146.00	\$0.00	\$0.00	\$3,020.00	\$-4,364.15
18	Phase 3	\$10,000.00	\$2,897.00	\$5,146.00	\$0.00	\$0.00	\$2,580.00	\$-2,407.15
19	Phase 3	\$10,000.00	\$2,897.00	\$5,146.00	\$0.00	\$0.00	\$2,140.00	\$-450.15
20	Phase 3	\$10,000.00	\$2,897.00	\$5,146.00	\$0.00	\$0.00	\$1,700.00	\$1,506.85
21	Phase 3	\$10,000.00	\$2,897.00	\$5,146.00	\$0.00	\$0.00	\$1,260.00	\$3,463.85
22	Phase 3	\$10,000.00	\$2,897.00	\$5,146.00	\$0.00	\$0.00	\$820.00	\$5,420.85
23	Phase 3	\$10,000.00	\$2,897.00	\$5,146.00	\$0.00	\$0.00	\$380.00	\$7,377.85
24	Phase 3	\$10,000.00	\$2,897.00	\$5,146.00	\$0.00	\$0.00	\$0.00	\$9,334.85

Post-Debt Wealth Projection

Once debt-free (Phase 4), monthly wealth building: RRSP \$1,200/mo + TFSA \$625/mo

RRSP tax refund at 31.0% marginal rate: ~\$4,464/year reinvested

Year	RRSP Balance	TFSA Balance	Combined	Tax Refund
Year 1	\$19,995.84	\$7,950.00	\$27,945.84	\$4,464.00
Year 2	\$41,191.43	\$16,377.00	\$57,568.43	\$4,464.00
Year 3	\$63,658.76	\$25,309.62	\$88,968.38	\$4,464.00
Year 4	\$87,474.13	\$34,778.20	\$122,252.33	\$4,464.00
Year 5	\$112,718.42	\$44,814.89	\$157,533.31	\$4,464.00

Assumes 6% annual portfolio growth. RRSP refund calculated at marginal rate and reinvested. TFSA grows tax-free. Actual returns will vary.